

MARKETING

Big companies control the information flow about a product through large marketing budgets, strong brands, and wide distribution. With the Internet, small companies can now compete against giants. Take the mutual fund industry as an example. Big-load funds used to dominate the business, because of the size of their advertising budgets and their ability to pay an army of brokers to sell their funds. Today, services such as Morningstar provide objective data on thousands of mutual funds through print, disk, and network delivery. Every fund gets one page, regardless of asset size, which equalizes giants and pygmies. The armored knights couldn't beat armies of commoners with muskets, and the corporate nobility of today is similarly vulnerable to upstart companies with smart, energetic, and competitive management.

One can see how the Internet will eventually transform the process of matching customer with product or service in field after field. It's going to affect the livings of a host of people one of these days. Who needs an insurance broker if you want a standard policy and are looking only for the lowest rate, and everybody's quotes are available on-line? Why consult a travel agent if you can call up vacation ideas, destination descriptions, and room rates on your PC screen? Why wait three weeks for a bookstore to get you a title it doesn't have in stock when a search of all sources can be immediate and the book shipped that day? If you are an insurance agent, travel agent, or bookstore owner, you had best rethink your livelihood, perhaps concentrating on improving the quality of the service you deliver.

The Internet has already brought many changes, but many more await. As I write these thoughts, in 1996, stocks directly associated with Internet, such as Netscape, America Online, UUNet, and Spyglass, have been bid to extravagant heights. It is time to look downstream, but it is not yet clear where the big money will be made.